

Danaher Reports Third Quarter 2024 Results

WASHINGTON, Oct. 22, 2024 /PRNewswire/ -- Danaher Corporation (NYSE: DHR) (the "Company") today announced results for the quarter ended September 27, 2024. All results in this release reflect only continuing operations unless otherwise noted.

Key Third Quarter 2024 Results

- Net earnings were \$818 million, or \$1.12 per diluted common share and non-GAAP adjusted diluted net earnings per common share were \$1.71.
- Revenues increased 3.0% year-over-year to \$5.8 billion and non-GAAP core revenue increased 0.5%.
- Operating cash flow was \$1.5 billion and non-GAAP free cash flow was \$1.2 billion.

Rainer M. Blair, President and Chief Executive Officer, stated, "Our team delivered strong third quarter results, including better-than-expected revenue growth. We were especially pleased with the continued positive momentum in our bioprocessing business and believe Cepheid gained market share in molecular testing again this quarter."

Blair continued, "Looking ahead, we believe the combination of our leading portfolio and DBS-driven execution differentiates Danaher and provides a strong foundation for sustainable long-term value creation while helping to meaningfully improve human health."

Fourth Quarter and Full Year 2024 Outlook

The Company provides forecasted sales only on a non-GAAP core revenue basis because of the difficulty in estimating the other components of GAAP revenue, such as currency translation, acquisitions and divested product lines.

For the fourth quarter 2024, the Company anticipates that non-GAAP core revenue will decline low-single digits year-over-year. For full year 2024, the Company continues to expect that non-GAAP core revenue will be down low-single digits year-over-year.

Conference Call and Webcast Information

Danaher will discuss its third quarter results and financial guidance for the fourth quarter and full year 2024 during its quarterly investor conference call today starting at 8:00 a.m. ET. The call and an accompanying slide presentation will be webcast on the "Investors" section of Danaher's website, www.danaher.com, under the subheading "Events & Presentations" and additional related materials will be posted to the same section of Danaher's website. A replay of the webcast will be available in the same section of Danaher's website shortly after the conclusion of the presentation and will remain available until the next quarterly earnings call.

The conference call can be accessed by dialing 800-245-3047 within the U.S. or by dialing +1 203-518-9765 outside the U.S. a few minutes before the 8:00 a.m. ET start and telling the operator that you are dialing in for Danaher's earnings conference call (Conference ID: DHRQ324). A replay of the conference call will be available shortly after the conclusion of the call and until November 5, 2024. You can access the replay dial-in information on the "Investors" section of Danaher's website under the subheading "Events & Presentations."

ABOUT DANAHER

Danaher is a leading global life sciences and diagnostics innovator, committed to accelerating the power of science and technology to improve human health. Our businesses partner closely with customers to solve many of the most important health challenges impacting patients around the world. Danaher's advanced science and technology - and proven ability to innovate - help enable faster, more accurate diagnoses and help reduce the time and cost needed to sustainably discover, develop and deliver life-changing therapies. Focused on scientific excellence, innovation and continuous improvement, our approximately 63,000 associates worldwide help ensure that Danaher is improving quality of life for billions of people today, while setting the foundation for a healthier, more sustainable tomorrow. Explore more at www.danaher.com.

NON-GAAP MEASURES AND SUPPLEMENTAL MATERIALS

In addition to the financial measures prepared in accordance with U.S. generally accepted accounting principles (GAAP), this earnings release also contains non-GAAP financial measures. Calculations of these measures, explanations of what these measures represent, the reasons why we believe these measures provide useful information to investors, a reconciliation of these measures to the most directly comparable GAAP measures, as applicable, and other information relating to these non-GAAP measures are included in the supplemental reconciliation schedule attached.

In addition, this earnings release, our Form 10-Q, the slide presentation accompanying the related earnings call, non-GAAP reconciliations and a note containing details of historical and anticipated, future financial performance have been posted to the "Investors" section of Danaher's website (www.danaher.com) under the subheading "Quarterly Earnings."

FORWARD-LOOKING STATEMENTS

Statements in this release that are not strictly historical, including the statements regarding the anticipated financial results for the fourth quarter and full year 2024, the Company's positioning for sustainable long-term value creation and any other statements regarding events

or developments that we believe or anticipate will or may occur in the future are "forward-looking" statements within the meaning of the federal securities laws. There are a number of important factors that could cause actual results, developments and business decisions to differ materially from those suggested or indicated by such forward-looking statements and you should not place undue reliance on any such forward-looking statements. These factors include, among other things: unanticipated, further declines in demand for our COVID-19 related products, the impact of global health crises, the impact of our debt obligations on our operations and liquidity, deterioration of or instability in the global economy, the markets we serve and the financial markets, uncertainties with respect to the development, deployment, and use of artificial intelligence in our business and products, uncertainties relating to national laws or policies, including laws or policies to protect or promote domestic interests and/or address foreign competition, contractions or growth rates and cyclicalities of markets we serve, competition, our ability to develop and successfully market new products and technologies and expand into new markets, the potential for improper conduct by our employees, agents or business partners, our compliance with applicable laws and regulations (including rules relating to off-label marketing and other regulations relating to medical devices and the health care industry), the results of our clinical trials and perceptions thereof, our ability to effectively address cost reductions and other changes in the health care industry, our ability to successfully identify and consummate appropriate acquisitions and strategic investments, our ability to integrate the businesses we acquire and achieve the anticipated growth, synergies and other benefits of such acquisitions, contingent liabilities and other risks relating to acquisitions, investments, strategic relationships and divestitures (including tax-related and other contingent liabilities relating to past and future IPOs, split-offs or spin-offs), security breaches or other disruptions of our information technology systems or violations of data privacy laws, the impact of our restructuring activities on our ability to grow, risks relating to potential impairment of goodwill and other intangible assets, currency exchange rates, tax audits and changes in our tax rate and income tax liabilities, changes in tax laws applicable to multinational companies, litigation and other contingent liabilities including intellectual property and environmental, health and safety matters, the rights of the United States government with respect to our production capacity in times of national emergency or with respect to intellectual property/production capacity developed using government funding, risks relating to product, service or software defects, product liability and recalls, risks relating to our manufacturing operations and fluctuations in the cost and availability of the supplies we use (including commodities) and labor we need for our operations, our relationships with and the performance of our channel partners, uncertainties relating to collaboration arrangements with third-parties, the impact of deregulation on demand for our products and services, the impact of climate change, legal or regulatory measures to address climate change and our ability to address stakeholder expectations relating to climate change, labor matters and our ability to recruit, retain and motivate talented employees representing diverse backgrounds, experiences and skill sets, non-U.S. economic, political, legal, compliance, social and business factors (including the impact of military conflicts), disruptions and other impacts relating to man-made and natural disasters, inflation and the impact of our By-law exclusive forum provisions. Additional information regarding the factors that may cause actual results to differ materially from these forward-looking statements is available in our SEC filings, including our 2023 Annual Report on Form 10-K and Quarterly Report on Form 10-Q for the third quarter of 2024. These forward-looking statements speak only as of the date of this release and except to the extent required by applicable law, the Company does not assume any obligation to update or revise any forward-looking statement, whether as a result of new information, future events and developments or otherwise.

DANAHER CORPORATION AND SUBSIDIARIES
CONSOLIDATED CONDENSED STATEMENTS OF EARNINGS
(\$ and shares in millions, except per share amounts)
(unaudited)

	Three-Month Period Ended		Nine-Month Period Ended	
	September 27, 2024	September 29, 2023	September 27, 2024	September 29, 2023
Sales	\$ 5,798	\$ 5,624	\$ 17,337	\$ 17,485
Cost of sales	(2,397)	(2,349)	(7,021)	(7,230)
Gross profit	3,401	3,275	10,316	10,255
Operating costs:				
Selling, general and administrative expenses	(2,060)	(1,728)	(5,736)	(5,294)
Research and development expenses	(383)	(362)	(1,142)	(1,096)
Operating profit	958	1,185	3,438	3,865
Nonoperating income (expense):				
Other income (expense), net	102	(47)	7	(38)
Interest expense	(87)	(70)	(217)	(201)
Interest income	4	79	103	186
Earnings before income taxes	977	1,147	3,331	3,812
Income taxes	(159)	(207)	(518)	(712)
Net earnings from continuing operations	818	940	2,813	3,100
Earnings from discontinued operations, net of income taxes	—	189	—	585

Net earnings	818	1,129	2,813	3,685
Mandatory convertible preferred stock dividends	—	—	—	(21)
Net earnings attributable to common stockholders	\$ 818	\$ 1,129	\$ 2,813	\$ 3,664
Net earnings per common share from continuing operations:				
Basic	\$ 1.13	\$ 1.27	\$ 3.83	\$ 4.19
Diluted	\$ 1.12	\$ 1.26	\$ 3.80 (a)	\$ 4.15
Net earnings per common share from discontinued operations:				
Basic	\$ —	\$ 0.26	\$ —	\$ 0.80
Diluted	\$ —	\$ 0.25	\$ —	\$ 0.79 (a)
Net earnings per common share:				
Basic	\$ 1.13	\$ 1.53	\$ 3.83	\$ 4.98 (a)(b)
Diluted	\$ 1.12	\$ 1.51	\$ 3.80 (a)	\$ 4.94
Average common stock and common equivalent shares outstanding:				
Basic	723.0	739.4	733.8	735.4
Diluted	729.4	745.9	740.1	742.1

(a) Net earnings per common share amounts for the relevant three-month periods do not add to the nine-month period amount due to rounding.

(b) Net earnings per common share amounts do not add due to rounding.

This information is presented for reference only. A complete copy of Danaher's Form 10-Q financial statements is available on the Company's website (www.danaher.com).

DANAHER CORPORATION RECONCILIATION OF GAAP TO NON-GAAP FINANCIAL MEASURES

Diluted Net Earnings Per Common Share and Adjusted Diluted Net Earnings Per Common Share ¹

	Three-Month Period Ended		Nine-Month Period Ended	
	September 27, 2024	September 29, 2023	September 27, 2024	September 29, 2023
Diluted Net Earnings Per Common Share				
From Continuing Operations (GAAP)	\$ 1.12	\$ 1.26	\$ 3.80	\$ 4.15
Amortization of acquisition-related intangible assets ^A	0.57	0.49	1.65	1.49
Fair value net (gains) losses on investments ^B	(0.14)	0.06	(0.01)	0.06
Impairments ^C	0.30	—	0.30	0.06
Acquisition-related items ^D	—	—	0.03	—
Tax effect of the above adjustments ^E	(0.14)	(0.10)	(0.37)	(0.30)
Discrete tax adjustments ^F	—	0.01	(0.06)	0.03
Rounding	—	—	—	0.01
Adjusted Diluted Net Earnings Per Common Share From Continuing Operations (Non-GAAP)	\$ 1.71	\$ 1.72	\$ 5.34	\$ 5.50

¹ For the nine-month period ended September 29, 2023, each of the per share amounts above have been calculated assuming the Mandatory Convertible Preferred Stock ("MCPS") had been converted into shares of common stock prior to their conversion on April 17, 2023. Net earnings from continuing operations per diluted common share for the relevant three-month periods may not add to the year-to-date amounts due to rounding.

Notes to Reconciliation of GAAP to Non-GAAP Financial Measures

A Amortization of acquisition-related intangible assets in the following historical periods (\$ in millions) (only the pretax amounts set forth below are reflected in the amortization line item above):

	Three-Month Period Ended		Nine-Month Period Ended	
	September 27, 2024	September 29, 2023	September 27, 2024	September 29, 2023
Pretax	\$ 414	\$ 367	\$ 1,223	\$ 1,111
After-tax	341	301	1,008	909

B Net (gains) losses on the Company's equity and limited partnership investments recorded in the following historical periods (\$ in millions) (only the pretax amounts set forth below are reflected in the fair value net (gains) losses on investments line above):

	Three-Month Period Ended		Nine-Month Period Ended	
	September 27, 2024	September 29, 2023	September 27, 2024	September 29, 2023
Pretax	\$ (103)	\$ 48	\$ (7)	\$ 43
After-tax	(82)	36	(9)	32

C Impairment charges related to a trade name in the Life Sciences segment recorded in the three and nine-month periods ended September 27, 2024 (\$222 million pretax as reported in this line item, \$169 million after-tax) and technology and other assets in the Biotechnology segment recorded in the nine-month period ended September 29, 2023 (\$42 million pretax as reported in this line item, \$32 million after-tax).

D Costs incurred for the fair value adjustment to inventory related to the acquisition of Abcam plc for the nine-month period ended September 27, 2024 (\$25 million pretax as reported in this line item, \$19 million after-tax).

E This line item reflects the aggregate tax effect of all nontax adjustments reflected in the preceding line items of the table. In addition, the footnotes above indicate the after-tax amount of each individual adjustment item. Danaher estimates the tax effect of each adjustment item by applying Danaher's overall estimated effective tax rate to the pretax amount, unless the nature of the item and/or the tax jurisdiction in which the item has been recorded requires application of a specific tax rate or tax treatment, in which case the tax effect of such item is estimated by applying such specific tax rate or tax treatment. The MCPS dividends are not tax deductible and therefore the tax effect of the adjustments does not include any tax impact of the MCPS dividends.

F There were no discrete tax adjustments and other tax-related adjustments for the three-month period ended September 27, 2024 as excess tax benefits from stock-based compensation were offset by other discrete tax charges. Discrete tax adjustments and other tax-related adjustments for the nine-month period ended September 27, 2024, include net discrete tax benefits of \$45 million related primarily to excess tax benefits from stock-based compensation, release of reserves for uncertain tax positions due to the expiration of statutes of limitation and changes in estimates associated with prior period uncertain tax positions. Discrete tax adjustments and other tax-related adjustments for the three-month period ended September 29, 2023, include the impact of a net discrete tax charge of \$5 million due principally to tax costs related to the separation of the Environmental & Applied Solutions business and changes in estimates associated with prior period uncertain tax positions, partially offset by excess tax benefits from stock compensation. Discrete tax adjustments and other tax-related adjustments for the nine-month period ended September 29, 2023, include the impact of a net discrete tax charge of \$24 million due principally to tax costs related to the separation of the Environmental & Applied Solutions business, tax costs related to legal and operational actions taken to realign certain businesses and changes in estimates associated with prior period uncertain tax positions, partially offset by excess tax benefits from stock-based compensation and interest on prior year tax refunds.

Average and Adjusted Average Common Stock and Common Equivalent Diluted Shares Outstanding

(shares in millions)

	Three-Month Period Ended		Nine-Month Period Ended	
	September 27, 2024	September 29, 2023	September 27, 2024	September 29, 2023
Average common stock and common equivalent shares outstanding - diluted (GAAP) ²	729.4	745.9	740.1	742.1
Converted shares ³	—	—	—	3.4
Adjusted average common stock and common equivalent shares outstanding - diluted (non-GAAP)	729.4	745.9	740.1	745.5

- 2 The impact of the MCPS calculated under the if-converted method was anti-dilutive for the nine-month period ended September 29, 2023, and as such, 3.4 million weighted average shares underlying the MCPS were excluded from the calculation of diluted EPS and the related MCPS dividends of \$21 million were included in the calculation of net earnings for diluted EPS. As of April 17, 2023, all outstanding shares of the MCPS converted into 8.6 million shares of the Company's common stock.
- 3 The number of converted shares assumes the conversion of all MCPS and issuance of the underlying shares applying the "if-converted" method of accounting and using the actual conversion rates as of September 29, 2023.

Sales Growth (Decline) by Segment and Core Sales Growth (Decline) by Segment

% Change Three-Month Period Ended September 27, 2024 vs. Comparable 2023 Period				
	Total Company	Segments		
		Biotechnology	Life Sciences	Diagnostics
Total sales growth (decline) (GAAP)	3.0 %	(0.5) %	4.5 %	5.0 %
Impact of:				
Acquisitions	(2.5) %	— %	(7.0) %	— %
Currency exchange rates	— %	0.5 %	0.5 %	— %
Core sales growth (decline) (non-GAAP)	0.5 %	— %	(2.0) %	5.0 %

% Change Nine-Month Period Ended September 27, 2024 vs. Comparable 2023 Period				
	Total Company	Segments		
		Biotechnology	Life Sciences	Diagnostics
Total sales (decline) growth (GAAP)	(1.0) %	(9.5) %	1.5 %	4.0 %
Impact of:				
Acquisitions	(2.0) %	— %	(6.5) %	— %
Currency exchange rates	1.0 %	1.0 %	1.5 %	1.0 %
Core sales (decline) growth (non-GAAP)	(2.0) %	(8.5) %	(3.5) %	5.0 %

Forecasted Core Sales Decline

	% Change Three-Month Period Ending December 31, 2024 vs. Comparable 2023 Period	% Change Year Ending December 31, 2024 vs. Comparable 2023 Period
Core sales decline (non-GAAP)	-Low-single digit	-Low-single digit

Cash Flow from Continuing Operations and Free Cash Flow from Continuing Operations
(\$ in millions)

	Three-Month Period Ended		Year-over- Year Change
	September 27, 2024	September 29, 2023	
Total Cash Flow from Continuing Operations:			
Net cash provided by operating activities from continuing operations (GAAP)	\$ 1,513	\$ 1,447	
Total cash used in investing activities from continuing operations (GAAP)	\$ (606)	\$ (315)	
Total cash (used in) provided by financing activities from continuing operations (GAAP)	\$ (845)	\$ 2,443	
Free Cash Flow from Continuing Operations:			
Net cash provided by operating activities from continuing operations (GAAP)	\$ 1,513	\$ 1,447	~ 4.5 %

Less: payments for additions to property, plant & equipment (capital expenditures) from continuing operations (GAAP)	(298)	(354)	
Plus: proceeds from sales of property, plant & equipment (capital disposals) from continuing operations (GAAP)	11	4	
Free cash flow from continuing operations (non-GAAP)	\$ 1,226	\$ 1,097	~ 12.0 %

We define free cash flow from continuing operations as operating cash flows from continuing operations, less payments for additions to property, plant and equipment from continuing operations ("capital expenditures") plus the proceeds from sales of plant, property and equipment from continuing operations ("capital disposals").

Statement Regarding Non-GAAP Measures

Each of the non-GAAP measures set forth above should be considered in addition to, and not as a replacement for or superior to, the comparable GAAP measure, and may not be comparable to similarly titled measures reported by other companies. Management believes that these measures provide useful information to investors by offering additional ways of viewing Danaher Corporation's ("Danaher" or the "Company") results that, when reconciled to the corresponding GAAP measure, help our investors:

- with respect to Adjusted Diluted Net Earnings Per Common Share, understand the long-term profitability trends of our business and compare our profitability to prior and future periods and to our peers;
- with respect to core sales, identify underlying growth trends in our business and compare our sales performance with prior and future periods and to our peers; and
- with respect to free cash flow from continuing operations (the "FCF Measure"), understand Danaher's ability to generate cash without external financings, strengthen its balance sheet, invest in its business and grow its business through acquisitions and other strategic opportunities (although a limitation of free cash flow is that it does not take into account the Company's debt service requirements and other non-discretionary expenditures, and as a result the entire free cash flow amount is not necessarily available for discretionary expenditures).

Management uses the non-GAAP measures referenced above to measure the Company's operating and financial performance, and uses core sales and non-GAAP measures similar to Adjusted Diluted Net Earnings Per Common Share from Continuing Operations and the FCF Measure in the Company's executive compensation program.

The items excluded from the non-GAAP measures set forth above have been excluded for the following reasons:

- With respect to Adjusted Diluted Net Earnings Per Common Share:
 - Amortization of Intangible Assets: We exclude the amortization of acquisition-related intangible assets because the amount and timing of such charges are significantly impacted by the timing, size, number and nature of the acquisitions we consummate. While we have a history of significant acquisition activity we do not acquire businesses on a predictable cycle, and the amount of an acquisition's purchase price allocated to intangible assets and related amortization term are unique to each acquisition and can vary significantly from acquisition to acquisition. Exclusion of this amortization expense facilitates more consistent comparisons of operating results over time between our newly acquired and long-held businesses, and with both acquisitive and non-acquisitive peer companies. We believe however that it is important for investors to understand that such intangible assets contribute to sales generation and that intangible asset amortization related to past acquisitions will recur in future periods until such intangible assets have been fully amortized.
 - Restructuring Charges: We exclude costs incurred pursuant to discrete restructuring plans that are fundamentally different (in terms of the size, strategic nature and planning requirements, as well as the inconsistent frequency, of such plans) from the ongoing productivity improvements that result from application of the Danaher Business System. Because these restructuring plans are incremental to the core activities that arise in the ordinary course of our business and we believe are not indicative of Danaher's ongoing operating costs in a given period, we exclude these costs to facilitate a more consistent comparison of operating results over time.
 - Other Adjustments: With respect to the other items excluded from Adjusted Diluted Net Earnings Per Common Share from Continuing Operations, we exclude these items because they are of a nature and/or size that occur with inconsistent frequency, occur for reasons that may be unrelated to Danaher's commercial performance during the period and/or we believe that such items may obscure underlying business trends and make comparisons of long-term performance difficult.
- With respect to adjusted average common stock and common equivalent shares outstanding, Danaher's MCPS mandatorily converted into Danaher common stock on the mandatory conversion date of April 17, 2023 (unless converted or redeemed earlier in accordance with the terms of the applicable certificate of designations). With respect to the calculation of Adjusted Diluted Net Earnings Per Common Share from Continuing Operations, we apply the "if converted" method of share dilution to the MCPS in all applicable periods irrespective of whether such preferred shares would be dilutive or anti-dilutive in the period. We believe this presentation provides useful information to investors by helping them understand the net impact on Danaher's earnings per share-related measures irrespective of the period.
- With respect to core sales, (1) we exclude the impact of currency translation because it is not under management's control, is subject to volatility and can obscure underlying business trends, and (2) we exclude the effect of acquisitions and divested product lines because the timing, size, number and nature of such transactions can vary significantly from period-to-period and between us and our peers, which we believe may obscure underlying business trends and make comparisons of long-term performance difficult.
- With respect to the FCF Measure, we deduct payments for additions to property, plant and equipment (net of the proceeds from capital disposals) to demonstrate the amount of operating cash flow for the period that remains after accounting for the Company's capital expenditure requirements.

The Company provides forecasted sales only on a non-GAAP core revenue basis because of the difficulty in estimating the other components of GAAP revenue, such as currency translation, acquisitions and divested product lines.

SOURCE Danaher Corporation

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